COVER STORY

DEVELOP THESE BEST FINANCIAL HABITS

Working on your finances can be a long-drawn process, but taking it one step at a time, and developing better money habits will help you get a handle on it and build a better future for yourself

By Narayan Krishnamurthy

We are in the new financial year, and if you haven't set any financial resolutions, this is a time to consider them and also evaluate the progress made by your existing resolutions. Unlike New Year's resolutions, which start to lose novelty within a few weeks, make sure that you follow your financial goals with a process that can help you realise them. Financial goals need planning to succeed. We often fail to achieve them because we do not work towards setting a framework to achieve them. It is just like setting a habit to brush your teeth, take a shower and so on.

In December 2022, Tejasvi Surya, Member of Parliament, raised the issue of personal finance management in Parliament. "Personal financial management is a crucial life skill that young Indians must be taught as they enter the job market. It will help them navigate financial life effectively and prevent falling prey to dubious schemes, debt traps," he said. One could say that many of us make poor financial decisions because we weren't taught money management in school. But one look around and you can be certain that even many among those with qualifications in finance are likely to have made mistakes or taken poor financial decisions.

Personal finance goals can be achieved by making a change in our day-to-day living for it to become a way of life. It is like developing a routine and a process so that it becomes second nature. Think of it like preparing a meal—you need the ingredients, you need to know the cooking process and the time you will need from preparation to serving. Financial goals are similar—set a goal with a timeframe and then based on your affordability and comfort, work on achieving it with regular savings and investments.

In its simplest form, personal finance is everything in your life that involves money. It is about spending, saving and investing money to live comfortably, have financial security and achieve goals in life that need money. Your financial goals are unique to you and it is important to form good financial habits that help you reach there. In his book, *The Power of Habit*, author Charles Duhigg says, "If there is a bad habit you want to break, think of it as a long-term plan instead of a New Year's resolution."

Change, he believes, ought to be incremental, without an arbitrary time limit. Look around you for artists, sportsmen or anyone who has excelled in their field and you will find that it